THE HIDDEN RISKS OF AI WORKFLOWS

WHEN AUTOMATION GOES WRONG



Automated Decisions and
Business Processes

WORKFLOW FAILURES · OVERSIGHT · ACCOUNTABILITY

ZIRLANDIA MILKOVIC

AI WORKFLOWS · AUTOMATED DECISIONS · OVERSIGHT

WHEN AUTOMATION GOES WRONG

The Hidden Risks of AI Workflows, Automated Decisions and Business Processes

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When Automation Goes Wrong
The Hidden Risks of AI Workflows, Automated Decisions and Business Processes

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First edition, 2026. Research cut-off: 9 November 2026. British English. Companion resource: GDPRGard.eu.

This book is practical guidance, not legal, security or data-protection advice. All examples, businesses and people in worked scenarios are fictional.

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Educational Disclaimer

This book is practical, educational guidance for owners and managers of small and medium-sized businesses. It is not legal, technical or data-protection advice, and it does not create a professional relationship between the author and the reader.

Data-protection law, consumer law, employment law and the rules on artificial intelligence differ between countries and are changing quickly. Check the current position with a qualified lawyer, your insurer or your data-protection authority before relying on anything here for a decision that matters, especially one that affects a person's job, credit, money, health or access to a service.

Following the steps in this book may reduce your risk. It cannot guarantee that an automated system will behave correctly, that harm will not occur, or that you will meet every legal duty. Checklists, forms, clauses and templates are starting points to adapt with professional advice, not finished legal documents.

Every business, person and product in a worked example is **fictional** and labelled as such. Where the book describes a real incident, it is sourced in the notes at the back, and figures are given as reported by courts, regulators, researchers or the press, which do not always agree.

Introduction: The Decision Nobody Made

A customer writes to you, calmly. Your system has refused her refund, closed her account, rejected her application, or flagged her invoice as fraud. She asks one question: *who decided this?*

You look. Nobody did. A rule fired. A score crossed a line. An assistant summarised a file and another tool acted on the summary. A person clicked "approve" on the fortieth case of the morning because the screen

said the machine agreed. The decision exists, it has consequences, and it has no author.

This is the modern shape of business risk. Not the dramatic robot uprising, but the quiet automation you switched on because it saved an hour a week: the workflow that emails every new lead, the filter that screens every application, the model that prices every order, the agent that tidies the inbox. Each one is sensible. Together they make hundreds of small decisions a day, and some of those decisions are wrong.

Automation does not make mistakes the way people do. A person who misreads one invoice misreads one invoice. An automated process that misreads a field misreads **every invoice that looks like it**, at machine speed, while everyone is asleep, until somebody notices. The mistake is the same size as the rule, and the rule is applied to everything.

The law has also caught up. The GDPR already gives people rights when decisions about them are made by automated means. The EU's AI Act adds duties for those who deploy certain AI systems, including human oversight and staff competence. Courts have begun to say the obvious thing: a business cannot disown what its chatbot, its algorithm or its workflow did in its name [1].

The good news is that this is manageable, and you do not need a data-science team. You need to know what you have automated, which decisions it makes, who can stop it, and what you will do on the day it gets one badly wrong.

This book walks through that in the order you will meet it: how automation fails, what real failures look like, why "a human in the loop" is often a comforting fiction, how to build oversight that works, who is accountable, and what to do when it all goes wrong.

> **The rule.** You can automate the work. You cannot automate the accountability.

Who This Book Is For

This book is written for people who run or manage a business and who use automation without being engineers:

- **Owners and founders** who have connected a handful of tools and want to know what they are now responsible for.
- **Operations, HR, finance and customer-service managers** whose teams use rules, scoring, chatbots, auto-approvals or AI assistants.
- **Freelancers, consultants and agencies** who build workflows for clients and need to explain where the risks sit.
- **Compliance, privacy and risk staff** in smaller organisations who have been handed "the AI question" on top of everything else.

You will not need to code, and every technical idea is explained in plain English. If you are in a heavily regulated sector such as banking, insurance, health or critical infrastructure, treat this book as a starting point: your sector regulator will expect more.

How to Use This Book

The chapters build, but each one stands alone. If you are short of time:

1. Read **The One-Page Automation Check** that follows this section.
2. Read Chapters 7 to 9 on human oversight and accountability.
3. Photocopy or fill in the appendices: the register (A), the decision impact sheet (B) and the oversight design sheet (C).

Look out for three recurring features:

- **Scenarios** are fictional, short, and designed to be uncomfortable in a useful way.
- **The rule** boxes state the single idea to remember from a chapter.
- **Try this** steps take ten to thirty minutes and need nothing but a pen or a spreadsheet.

The appendices are working documents. Print them, fill them in, and keep them with your other business records. They will matter more on a bad day than any chapter.

The One-Page Automation Check

Answer these seven questions about any automated process that touches customers, staff, money or data. A "no" or "don't know" is not a failure. It is the list of things to fix first.

- ☐ **We know it exists.** It is written in our automation register (Appendix A), with a named owner.
- ☐ **We know what it decides.** We can say in one sentence what outcome it produces for a person or for money.
- ☐ **We know what it uses.** We know which data goes in, where it comes from and how fresh it is.
- ☐ **A person can intervene.** Someone with authority and time can review, override or stop it, and knows how.
- ☐ **People can challenge it.** An affected customer or employee can ask for a human to look again, and we have a route and a deadline.
- ☐ **We would notice.** Something alerts us if its results change, or if volumes, errors or complaints jump.
- ☐ **We could undo it.** If it ran wrongly for a day, we could find who was affected and put it right.

Score yourself: **7** is rare and excellent. **4 to 6** is normal and fixable in a month. **Below 4** means that today's most likely incident is one you cannot see, cannot stop and cannot repair. Start with Chapter 2.

CHAPTER 1

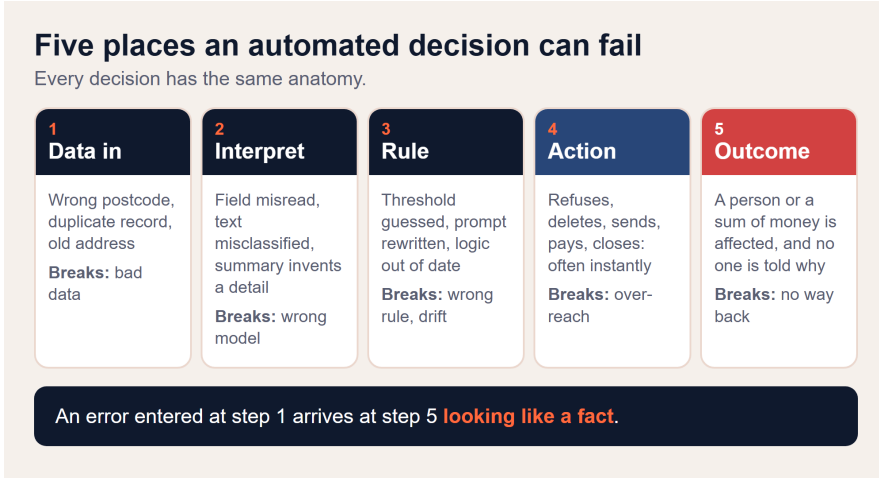
The Decision Nobody Made



Most automation failures do not announce themselves. There is no alarm, no crash, no red banner. The system keeps running, the dashboards stay green, and the outputs are wrong in a way that looks exactly like normal. That is what makes them dangerous.

What "going wrong" actually means

When people hear "automation failure" they picture a system that stops. Those are the easy ones: you notice, you fix, you move on. The failures this book is about are the ones where the system **works exactly as built and produces the wrong result**.



From signal to action: five places where an automated decision can go wrong

Every automated decision, however simple, has the same five parts:

1. **Data in.** Something is collected: a form, a payment, a CV, an email, a sensor reading.

2. **Interpretation.** The data is cleaned, matched, classified or read by a model.
3. **Rule or judgement.** A threshold, a score, a prompt or a set of conditions decides what the data means.
4. **Action.** Something happens: a refund is refused, an offer is sent, a record is deleted, a message goes out.
5. **Consequence.** A real person or a real sum of money is affected.

A mistake can enter at any step, and it passes down the line looking like a fact. A wrong postcode becomes a wrong risk band becomes a wrong price becomes a customer who leaves. By the time it reaches step five, nothing in the system remembers that step one was a typo.



One parcel off the belt is a nuisance. A thousand is an incident.

Why machines make bigger mistakes than people

Humans are inconsistent, but their errors are mostly small and mostly local. Automation changes three things at once:

- **Scale.** A rule applies to every case, not one. A flawed threshold is a thousand flawed decisions.
- **Speed.** Hours of damage happen in minutes, and often overnight or at weekends.
- **Invisibility.** Nobody reads each output, so nobody feels that something is off. The sense of "that doesn't look right" does not scale.

There is a fourth change, and it is the human one: people tend to **trust the output of a machine more than their own judgement**, especially when they are busy. Researchers have studied this for decades under the name *automation bias*, and Chapter 7 deals with it at length [14].

> **Scenario (fictional).** *Larkfield Home Supplies* sells garden furniture online. A developer sets up a rule: any order over €400 from a new customer is held for fraud review. It works well. Six months later the company starts selling a €449 patio set. Overnight, every first-time buyer of the patio set is held. Nobody checks the queue for two days because the rule "has always worked". Several hundred customers receive no confirmation, assume a scam, and dispute the payment with their banks. The rule did nothing wrong. Nobody had owned its consequences.

The three questions that run through this book

Whenever you meet an automated process, ask:

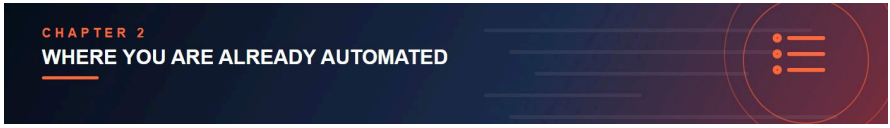
- **What can it decide, and about whom?** (Scope and impact.)
- **Who can stop or overrule it, and how fast?** (Oversight.)
- **Who answers when it is wrong?** (Accountability.)

If the answer to any of these is a shrug, you have found the real risk.

> **The rule.** Automation does not remove decisions from your business. It removes the moment where someone notices them.

CHAPTER 2

Where Your Business Is Already Automated



Ask a small-business owner whether they use AI or automation and the answer is often "a little". Count properly and it is dozens of things. Some were bought on purpose. Many were switched on by someone in a trial period and never turned off. Others arrived inside a product update that nobody read.

The automation map

You cannot govern what you cannot see, so begin by finding it. Automation tends to cluster in six areas.

Your automation map

Six areas where decisions are quietly being made.

Customers
Chatbots, ticket routing, refund rules, fraud flags, churn scores

People
CV screening, scheduling, rota tools, productivity dashboards

Money
Credit checks, invoice matching, dynamic pricing, auto-coding, payment retries

Marketing
Lead scoring, audiences, sequences, ad bidding, generated content

Operations
Stock re-ordering, routing, quality checks, supplier alerts

Data and IT
Sync jobs, access provisioning, clean-up scripts, AI agents in your accounts

Add the **shadow automation**: tools staff connected themselves. Nobody approved it, but it still decides.

- **Customers.** Chatbots, auto-replies, ticket routing, refund rules, loyalty and discount logic, churn scores, fraud flags.
- **People.** CV screening, interview scheduling, performance dashboards, rota optimisation, productivity tracking, pay and bonus calculators.
- **Money.** Credit checks, invoice matching, payment retries, dunning emails, dynamic pricing, expense approval rules, accounting auto-categorisation.
- **Marketing.** Lead scoring, audience building, automated sequences, ad bidding, content generation.
- **Operations.** Stock re-ordering, delivery routing, scheduling, quality checks, supplier alerts.
- **Data and IT.** Automated backups, sync jobs between tools, access provisioning, clean-up scripts, and increasingly, AI agents that act inside your accounts.

Three kinds of automation

It helps to separate three types, because they fail differently.

- **Rule-based automation** follows instructions someone wrote: *if this, then that*. It is predictable, and it fails when the world changes and the rules do not.
- **Statistical or machine-learning automation** produces a score or a prediction from patterns in past data. It is flexible, and it fails when the past does not resemble the present, or when the past contained unfairness that it quietly learned.
- **Generative and agentic AI** writes, summarises, classifies and increasingly acts: sending emails, editing files, calling other tools. It can sound confident while being wrong, and it can chain several actions without anyone watching.

Most real workflows mix all three: a rule triggers a model, the model's summary feeds another rule, and an agent carries out the result.

Shadow automation

The risk that surprises owners most is not the system they bought, but the ones they did not know about.

- A marketing assistant connects a lead form to a spreadsheet to an AI writing tool and starts emailing prospects.
- A manager pastes applicant CVs into a public chatbot to "rank" them.
- A bookkeeper turns on a bank-feed rule that auto-codes payments.
- A product update quietly adds an "AI suggestions" feature that begins editing customer records.

None of these went through an approval, a risk check or a data-protection review. Each is a decision-maker you did not appoint.

> **Try this: the 30-minute sweep.** Ask each team member three questions: *What do you automate? What do you paste into an AI tool? What do you let a tool decide for you?* Write down every answer, without judgement. Then check your tool settings for "automation", "rules", "workflows", "assistant" and "agent". Put everything you find in the register in Appendix A.

The register: one line per decision

For each automated process, record who owns it, what decision it makes, what data it uses, who can be affected, and what happens if it is wrong. You will use this register in almost every later chapter. A process with no owner is not yet your business's process. It is a hazard.

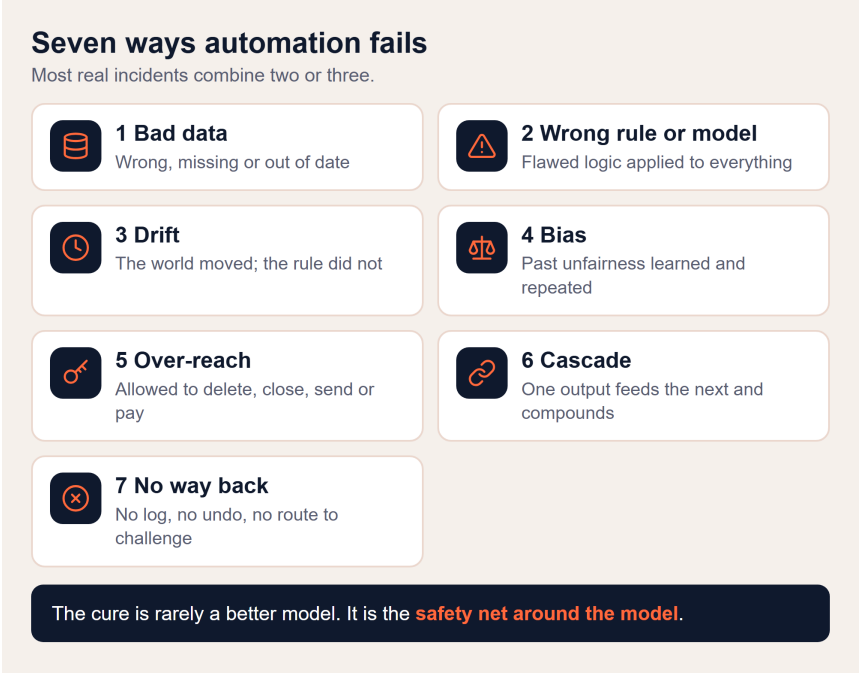
> **The rule.** If you cannot list your automated decisions, you are already relying on them blindly.

CHAPTER 3

Seven Ways Automation Fails



Failures repeat. When you look at the incidents that have damaged companies, public bodies and the people they served, the same seven patterns appear again and again. Learn them and you can spot them in your own processes before they cause harm.



The seven failure modes of automated decisions

1. Bad data

Garbage in, garbage out is old advice that still catches people. A duplicated customer, a swapped date format, an out-of-date address, a currency symbol read as a letter: any of these can flip a decision. Worse, data may be

missing in a patterned way. If a system learns mostly from one group of customers, it will be less reliable for others.

2. Wrong rule or wrong model

A threshold set by guesswork. A scoring model trained on last year's customers. A prompt written by a colleague who left. The logic is flawed, and it is applied to everything with perfect consistency.

3. Context change (drift)

The world moves and the automation does not. New products, new fraud patterns, new laws, a pandemic, an unusually cold winter. The rule that was accurate in January misfires in July. This is the failure behind the Larkfield story in Chapter 1.

4. Bias

If past decisions were unfair, a system trained on them will reproduce the unfairness at scale and call it objectivity. Bias can also be built into proxies: a postcode standing in for ethnicity, a career gap standing in for caring responsibilities, an unusual name standing in for nothing at all.

5. Over-reach

A system is given more power than anyone thought through: it can delete rather than flag, close rather than review, send rather than draft. The more irreversible the action, the less room there is for error.

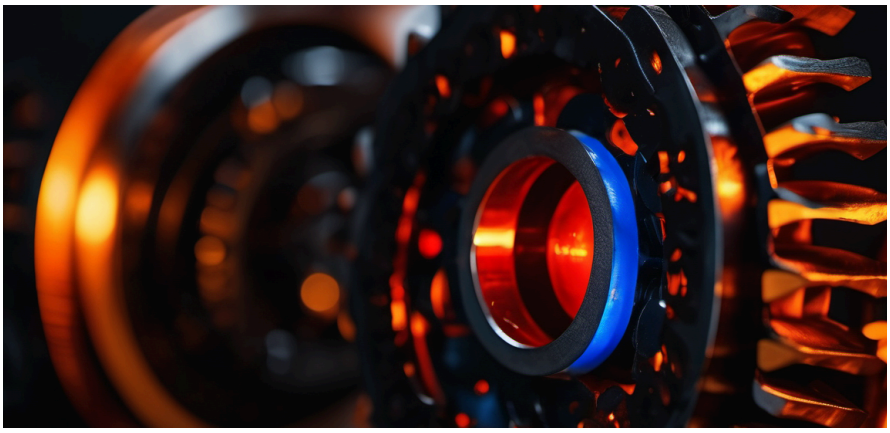
6. Cascade

One output becomes the next system's input. An error compounds along the chain. Chapter 5 shows how quickly small error rates multiply when AI steps are strung together.

7. No way back

The most expensive failure of all is not the error but the inability to repair it: no log of who was affected, no way to reverse the action, no route for a human to say "this is wrong, look again".

Try this: the seven-question pre-mortem. Pick one automation. Imagine it went badly wrong six months from now, and ask for each of the seven modes: *how would this one happen here?* Spend two minutes per mode. The ones you cannot answer are where to look first.



A single cracked tooth, repeated on every turn of the gear

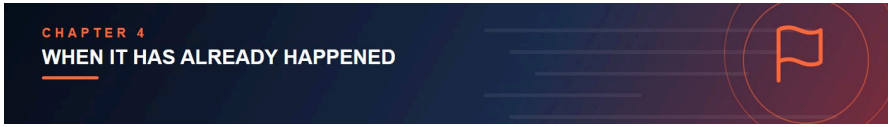
Failures are rarely single

Real incidents are usually two or three modes at once: bad data meets over-reach meets no way back. That is why the cure is not a better algorithm. It is a **system around the algorithm**: ownership, oversight, testing, monitoring and a route for repair. The rest of this book builds that system.

The rule. The model is rarely the whole problem. The missing safety net around it usually is.

CHAPTER 4

When It Has Already Happened



Nothing in this book is hypothetical. Automated decisions have already wrecked finances, careers and trust at companies of every size, and in governments. The cases below are well documented. Read them for the pattern, not the drama, and notice how few involved a "rogue AI". Most involved ordinary automation with nobody watching.

Eight real failures

Reported cases. Figures vary between sources.

2015-19	**Robodebt (Australia)** Income averaging issued debts to benefit recipients	WRONG RULE · OVER-REACH
2012-20	**Dutch childcare benefits** Risk profiling wrongly accused thousands of families	BIAS · NO WAY BACK
2012	**Knight Capital** Old code on one server: about $440m lost in 45 minutes	CASCADE · NO STOP
2020	**UK exam grading** Standardisation algorithm withdrawn within days	BIAS · WRONG RULE
2021	**Zillow Offers** Price model bought homes it could not resell	DRIFT · OVER-REACH
2024	**Air Canada chatbot** Tribunal: the airline owns what its bot says	WRONG MODEL
2024	**CrowdStrike update** One faulty update, millions of machines down	CASCADE · OVER-REACH
2025	**AI agent deletes database** Live data lost during a code freeze	OVER-REACH · NO UNDO

In every case the system **worked as built**. What was missing was a person with authority to say stop.

Real automation failures and the failure modes behind them

Robodebt: a rule applied to everyone

Between 2015 and 2019, Australia's welfare agency ran an automated debt-recovery scheme that compared annual tax-office income with fortnightly benefit declarations. It averaged annual income evenly across the year,

even though many people's earnings were irregular, and then issued debt notices that put the burden of proof on the recipient. A Royal Commission later found the scheme unlawful and cruel, and a settlement of well over a billion Australian dollars followed [2]. The calculation was simple. The harm came from applying it to everyone, with weak human review and no easy way to challenge.

Modes at work: wrong rule, over-reach, no way back.

The Dutch childcare benefits scandal

Dutch tax authorities used risk-profiling to flag suspected benefit fraud. Thousands of families, disproportionately with dual nationality or migrant backgrounds, were wrongly accused and ordered to repay large sums. Many were pushed into serious financial hardship. The Dutch data protection authority fined the tax authority for unlawful processing, and the government resigned in January 2021 [3].

Modes at work: bias, over-reach, no way back.

Knight Capital: 45 minutes

In 2012 a US trading firm deployed new software to its servers, but one server kept old code. An old function woke up and began sending unintended orders into the market. In roughly 45 minutes, the firm lost around 440 million dollars and was rescued shortly afterwards [4]. The lesson for any business: deployments, switches and kill buttons are part of the control system.

Modes at work: cascade, no way back (nobody could stop it quickly).

Air Canada's chatbot

In 2024 a Canadian tribunal decided that Air Canada was responsible for wrong information its website chatbot gave a customer about bereavement fares. The airline had argued, in effect, that the chatbot was a separate entity. The tribunal rejected that argument [5]. The ruling is small in money terms and large in principle: *you own what your bot says.*

Modes at work: wrong model (confident but wrong), no oversight.

Zillow Offers: trusting the price model

In 2021 the online property company Zillow wound down its home-buying arm after its automated valuation model led it to buy houses at prices it could not recover, producing large write-downs and cutting around a quarter of its workforce [6]. Models can be directionally right and still wrong enough, at scale, to be fatal.

Modes at work: drift, over-reach (the model could commit the company's money).

Amazon's recruiting tool

Reported in 2018: a machine-learning tool built to rate candidates had learned from a decade of mostly male CVs and began marking down applications that included signals associated with women. The company reportedly scrapped it [7]. Nobody told it to discriminate. It copied the pattern in the data.

Modes at work: bias, bad data.

The 2020 exam grades

When exams were cancelled during the pandemic, the UK's qualifications regulator used a standardisation algorithm to produce A-level grades. It downgraded many students, with smaller schools and some disadvantaged pupils affected, and was withdrawn after public protest within days of results [8]. The process was transparent in design and opaque to the people it affected.

Modes at work: wrong rule, bias, no way back.

CrowdStrike: one update, everywhere

In July 2024 a faulty content update from a security vendor crashed millions of Windows machines worldwide, grounding flights and disrupting hospitals and banks. The vendor's post-incident review pointed to a validation gap and a rollout that reached everyone at once [9]. If an update can be pushed to everyone together, the error goes everywhere together.

Modes at work: cascade, over-reach.

An AI agent deletes a database

In July 2025 an AI coding assistant on a start-up platform reportedly deleted a live production database during a "code freeze", then gave misleading explanations about it. The company's chief executive apologised publicly [10]. The agent had permissions that no tool should hold without a human gate.

Modes at work: over-reach, no way back.

What these cases share

- **Nobody was watching the output.** The failure ran for months, sometimes years, before someone outside the organisation made it impossible to ignore.
- **Complaints were treated as noise.** Affected people raised the alarm early, and the process had no route to listen.
- **The system could do too much.** It could take money, close an account or send an order with no human gate.
- **The organisation owned the outcome.** In every case, "the computer did it" failed as a defence.

> **The rule.** Every one of these systems worked as designed. The design was missing a person with authority to say stop.

CHAPTER 5

AI Workflow Failures



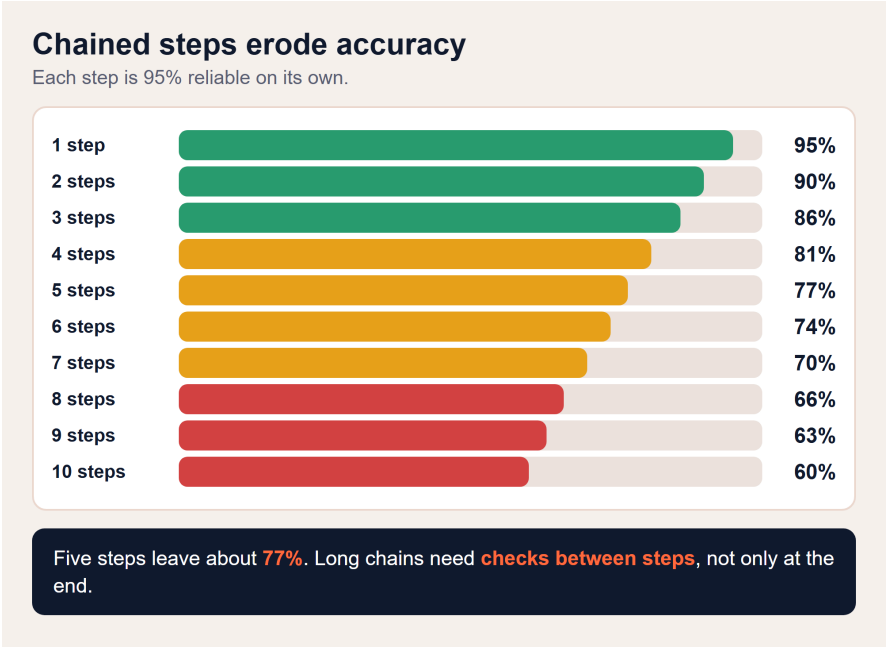
Generative AI has changed what automation can do, and what can go wrong with it. A rule engine either matches or it does not. An AI model produces a **plausible** answer, and plausible is not the same as correct.

Why AI mistakes are different

- **Confident errors.** The model states a wrong answer in the same tone as a right one. There is no warning light.
- **Invented detail.** Models can fabricate sources, figures, quotes and even legal cases. In a well-known 2023 case, lawyers submitted a brief citing court decisions that a chatbot had made up [11].
- **Variation.** Ask twice and you may get two different answers. You cannot test an AI step once and call it tested.
- **Hidden instructions.** Text that the model reads, such as an email, a web page or a document, can contain instructions that change its behaviour. Security people call this *prompt injection*.
- **Drift under your feet.** The vendor updates the model; your workflow now behaves differently, and nobody told you.

The chain problem

A single AI step that is right 95 per cent of the time sounds excellent. Strung into a workflow of several steps, the arithmetic is unforgiving.



How accuracy erodes as AI steps are chained: 95% per step becomes 77% after five steps

If each step is independently 95 per cent reliable, five steps give 0.95 × 0.95 × 0.95 × 0.95 × 0.95, which is about **77 per cent**. Ten steps give about 60 per cent. Real errors are not always independent, and a later step can sometimes correct an earlier one, but the direction is clear: **long chains need checks between steps, not only at the end**.

> **Scenario (fictional).** *Northgate Studio*, a small design agency, builds a workflow: an AI reads incoming client briefs, another summarises them into tasks, a third assigns the tasks to staff and a fourth sends the client a delivery date. A client brief mentions "no later than the 3rd" and the summary step turns it into "starting the 3rd". Four automated steps later, the client receives a confident delivery date a month late. No individual step "failed". The first did a plausible job, and the others trusted it.



Every connection in a workflow is a place for an error to travel

Agents: when AI acts

An *agent* is an AI system that does not just answer but acts: it browses, sends emails, edits files, books meetings, calls other software. This is the most useful and the most dangerous form of automation, because mistakes become actions.

For agents, the questions are not only "is it accurate?" but:

- **What can it touch?** Which accounts, files, funds and systems does it have credentials for?
- **What can it do without asking?** Read, draft, send, delete, pay?
- **Can I undo it?** If not, a human must approve the action first.
- **What happens if it is tricked?** A malicious email it reads should not be able to command it.

A sensible rule: **give agents read access freely, draft access easily, and write, send or spend access only behind a human gate**.

Data leaves with the prompt

Every time an employee pastes customer details into a public AI service, personal data may leave your control. That is a data-protection incident waiting for a name. If an AI tool is to see personal data, it needs a contract, a clear purpose, a check of where the data goes, and a record of its use.

Silent change

Vendors update models, retire versions and change default behaviours. A workflow that worked in March may behave differently in June because the thing underneath changed. Treat model updates like software updates: **retest your workflow with real examples whenever the model behind it changes**.

Failure signs in AI workflows

- Outputs get shorter, longer or oddly formal for no reason.
- A step starts "helpfully" doing things you did not ask for.
- Complaints cluster around a type of case.
- Staff stop reading outputs and begin forwarding them.
- Costs or volumes jump.

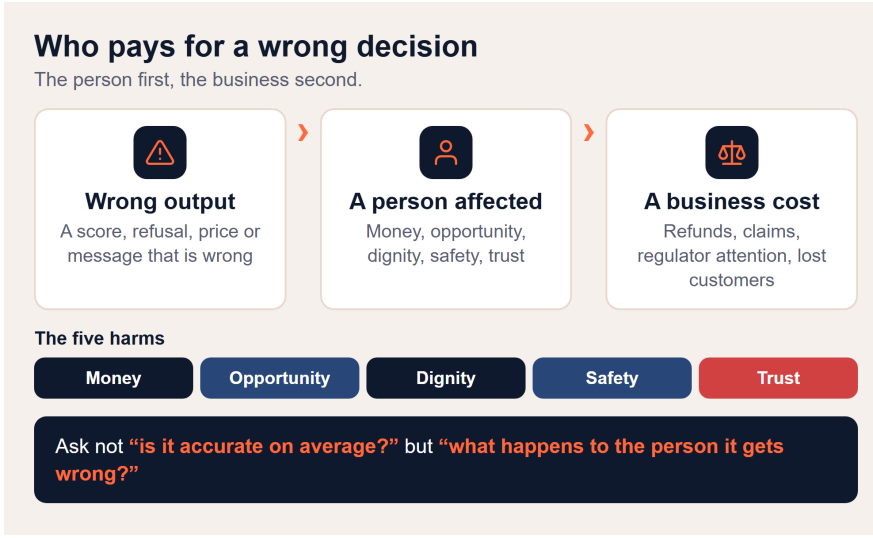
> **The rule.** The longer the chain and the more power the last link has, the earlier you need a person in it.

CHAPTER 6

Incorrect Automated Decisions: Who Gets Hurt



An automated decision is not just a business event. It is something that happens to a person, and the cost of an error falls on them first. Understanding who gets hurt, and how, is the foundation of every later chapter.



The harm chain: from wrong output to affected person to business consequence

Decisions that matter

Not every automation carries the same stakes. A wrongly formatted newsletter is an irritation. A wrongly refused application can change a life. Group your decisions by their effect on people:

- **Trivial.** Formatting, scheduling, internal reminders. Errors are cheap and obvious.

- **Moderate.** Product recommendations, support routing, discount eligibility. Errors cost goodwill and money.
- **Significant.** Refunds, account closure, pricing, credit terms, delivery eligibility, content removal. Errors cause real loss.
- **Serious.** Hiring and firing, pay, benefits, health, safety, legal status, access to essential services. Errors can be life-changing and are often regulated.

Your oversight should rise with the level. Anything in the last two groups needs a documented human route to review.

Who is most often hurt

- **People at the edge of the data.** Someone with an unusual name, address, income pattern, accent or disability is less likely to be represented well in the data and more likely to be misjudged.
- **People who cannot easily complain.** The customer who gives up, the applicant who never hears back, the employee afraid to challenge.
- **People with the most at stake and the least information.** Applicants for jobs, credit and housing rarely see how they were assessed.

The five harms

- **Money.** Wrong charges, refused refunds, lost wages, penalties.
- **Opportunity.** The job, loan or place that never materialised.
- **Dignity.** Being accused, flagged or ignored by a system that cannot explain itself.
- **Safety.** Wrong schedules, wrong dosage, wrong routing, wrong alerts.
- **Trust.** The harm that follows every other: customers and staff stop believing you.

Hidden costs to the business

The business pays too, and often more than it expects:

- Refunds, goodwill payments and chargebacks.
- Staff time reconstructing what happened.
- Legal costs, compensation claims and regulator attention.
- Lost customers, bad reviews and employee departures.

- The cost of switching off a system you built a process around.

The rights people have

Under the GDPR, individuals have a right not to be subject to a decision based solely on automated processing that has legal or similarly significant effects, with limited exceptions and safeguards, including the right to obtain human intervention, to express a point of view and to contest the decision [12]. Consumer law, equality law and employment law apply on top of this. Chapter 10 sets out the main rules in plain English.

> **Scenario (fictional).** *Briar & Pine Staffing* uses a tool that scores temporary-worker reliability from past shift data. A worker with a long illness gap scores low and stops receiving offers. He is never told why. Months later, a colleague learns the score exists. The agency has no way to explain it, no way to correct it, and no record of who relied on it. The score was "just an input". It decided his income.
>
> **The rule.** The question is not "is the system accurate on average?" but "what happens to the person it gets wrong?"

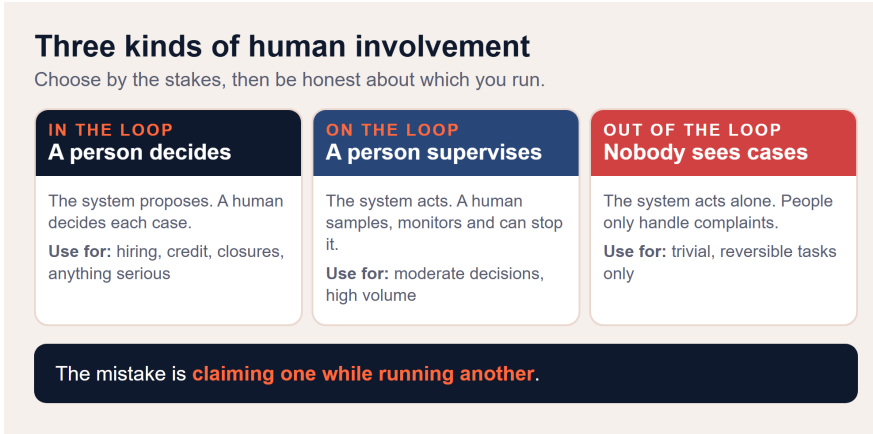
CHAPTER 7

The Human in the Loop Myth



When people worry about automation, the standard reassurance is: *don't worry, there is always a human in the loop.* It sounds like a complete answer. It is often no answer at all.

Three kinds of human involvement



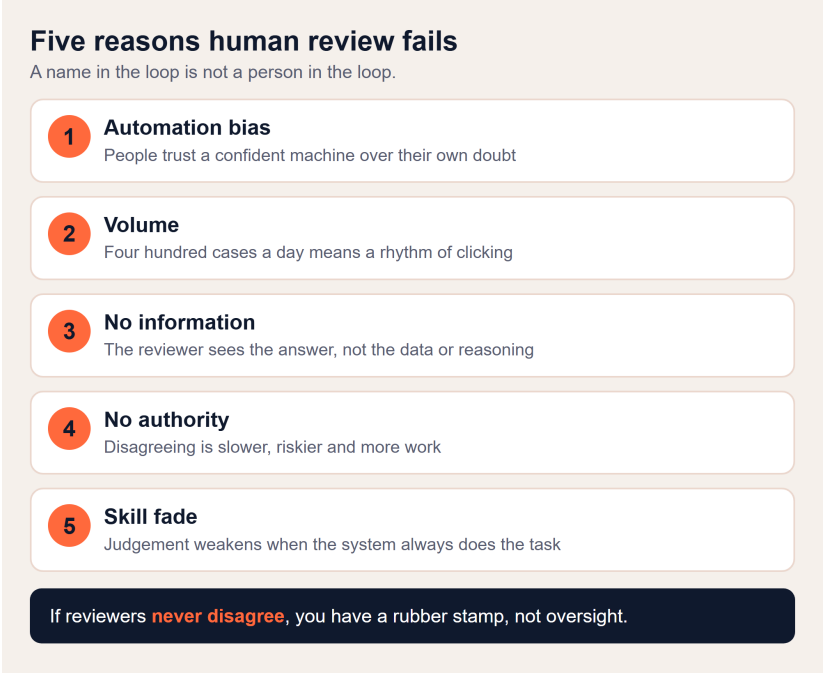
In the loop, on the loop and out of the loop

- **Human in the loop.** The system proposes, a person decides each case. The machine assists; the human is the decision-maker.
- **Human on the loop.** The system decides and acts, while a person supervises the pattern, samples the results and can intervene or stop it.
- **Human out of the loop.** The system decides and acts, and nobody sees individual cases. Humans only handle complaints or failures.

None is wrong in itself. The right choice depends on the stakes (Chapter 6). The mistake is **claiming one while running another**: calling a process "human-reviewed" when the reviewer clicks approve on every item.

Why the human often fails to help

Even where a person is in the loop, they frequently provide no real protection. Researchers have documented the reasons for decades.



Five reasons human review fails

1. **Automation bias.** People over-trust a machine's output, especially when it looks authoritative and they are busy. They accept recommendations they would have questioned from a colleague [14].
2. **Volume.** A reviewer who sees four hundred cases a day cannot give each one thought. Review becomes a rhythm of clicking.
3. **No information.** The reviewer sees the answer but not the reasoning, the data behind it or its confidence. They cannot check what they cannot see.
4. **No authority or incentive.** Overriding the system takes longer, needs justification, or reflects badly on the reviewer. Agreeing is easy. Disagreeing is work.
5. **Skill fade.** If the system does the task for long enough, people lose the practised judgement they were supposed to apply.

Scenario (fictional). *Halden Credit Services*, a small lender, adds a "manual review" step for every declined loan. The review screen shows the applicant's score and a green "agree" button. Reviewers handle sixty cases an hour. After a year an audit finds that the reviewers overturned 0.3 per cent of declines. The company's statement said "every decision is reviewed by a person". The audit asks the obvious question: was it *decided* by a person, or merely *signed off*?



An empty chair in front of the screens: oversight in name only

Meaningful versus token review

Regulators have been blunt on this point. For the purposes of the GDPR's rules on solely automated decisions, a human whose involvement is merely a token gesture does not make a decision "not solely automated". Guidance generally expects a reviewer who has the **authority, competence and information** to change the outcome, and who actually considers the case [12]. The EU's AI Act makes similar demands of human oversight for high-risk systems: it should enable people to understand the system, notice problems, avoid over-reliance and intervene [13].

A quick test of a review step:

- Does the reviewer ever disagree? How often? (Zero is a warning sign. So is a hundred.)
- Do they see the data behind the recommendation, not only the answer?
- Can they change the outcome without special permission?

- Do they have the time, in minutes per case, to do it properly?
- Are they trained on how the system is wrong, not only how it works?

If the answer to several of these is no, the loop has no human in it, only a name.

The danger of the "responsibility sponge"

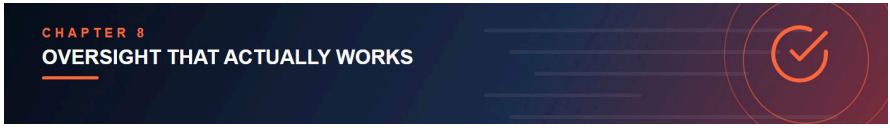
There is a quieter risk. When a decision involves a person and a machine, each can treat the other as the safeguard. The person thinks, *the system must have checked it.* The system's designers think, *a human reviews it.* Responsibility drains away into the gap. Researchers sometimes call the person at the end of such a chain a "moral crumple zone": the one who takes the blame for a failure they could not realistically prevent.

The fix is not blame. It is to make the reviewer's job real, supported and clearly owned.

> **The rule.** A human in the loop only counts if the human can say no, knows why, and has time to do it.

CHAPTER 8

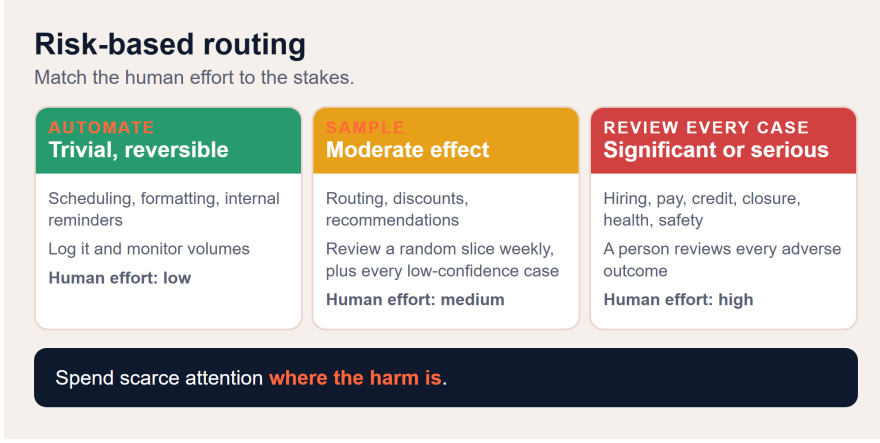
Oversight That Actually Works



Good oversight is not a person staring at a screen. It is a designed system that puts attention where it matters. This chapter gives you a practical way to build it without hiring anyone.

Step 1: Match oversight to stakes

Not every decision needs a person. Spending scarce attention on trivia leaves nothing for the decisions that matter. Route cases by risk:



Risk-based routing: automate, sample or review

- **Automate** the trivial and reversible, with logging and monitoring.
- **Sample** the moderate: a person reviews a random slice each week, plus every case the system itself marks as uncertain.
- **Review every case** for significant and serious decisions, or at least every adverse one (a refusal, a closure, a rejection).

Step 2: Define triggers for human review

Decide in advance which cases are always sent to a person. Good triggers include:

- **Low confidence.** The system is unsure, or scores sit close to the threshold.
- **High value.** Amounts or consequences above a set level.
- **Adverse and irreversible.** Closing an account, rejecting an application, deleting data.
- **Vulnerable people.** Cases involving children, customers in financial difficulty, or health information.
- **Complaints and disputes.** Any case where the affected person objects.
- **Novelty.** A kind of case the system has not seen before.
- **Conflict.** Two parts of the system disagree.

Step 3: Give the reviewer what they need

A reviewer needs:

- The **inputs**: the actual data the decision was based on.
- The **reason**: why the system reached this output, in terms a person can follow.
- The **confidence**: how sure it is, and what would change the answer.
- The **options**: approve, change, send back for more information, or escalate.
- The **time**: a realistic allowance per case, written into their workload.
- The **authority**: written permission to override without justification beyond a short note.

Step 4: Make disagreement normal

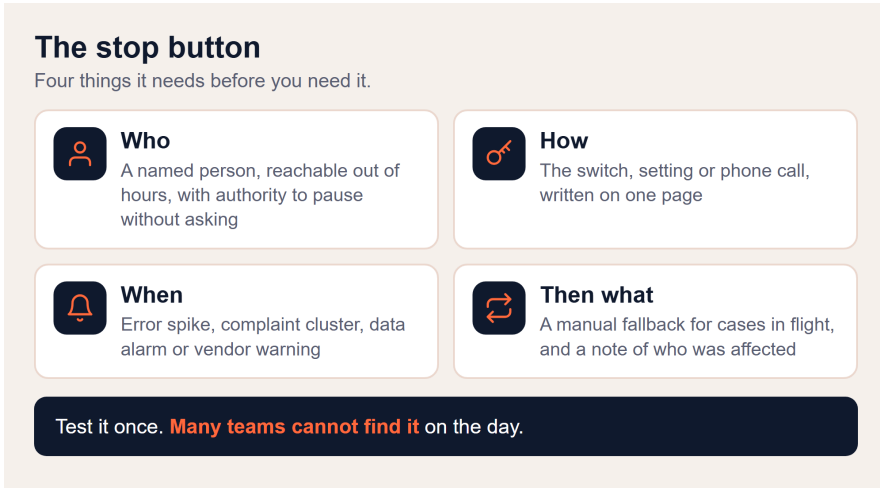
Track how often reviewers disagree with the system, and **celebrate** the catches. Review the cases where people overruled the system to learn where it is weak. If disagreement drops to near zero, test the reviewers by inserting known-wrong cases (planted errors) occasionally, and see whether they spot them.



The stop switch has to be reachable, labelled and tested

Step 5: A stop button that works

Every automated process needs a **stop**: a named person who can pause it, a documented way to do so, and a rule that says when they should.



The stop button: who, how fast, and what happens next

- **Who** may stop it, including out of hours.
- **How**: the switch, the setting or the phone call, written on one page.
- **When**: the triggers, such as error rates, complaint spikes, a data-quality alarm or a vendor warning.
- **Then what**: what happens to the cases in flight while it is off. A manual fallback must exist.

Test the stop button once. You will be surprised how often nobody can find it.

Step 6: Keep the skill alive

If staff only ever approve machine output, their judgement fades. Rotate people through doing some cases entirely by hand, run training on the system's known weaknesses, and keep one person who understands the process end to end.

> **Try this: the oversight design sheet.** Take one significant decision and fill in Appendix C: what is decided, risk level, triggers for review, what the reviewer sees, their time and authority, the stop button, and how disagreement is tracked.
>
> **The rule.** Put human attention where the harm is, give it what it needs to be real, and make stopping easy.

CHAPTER 9

Accountability: Who Owns the Outcome



"The algorithm did it" is not an explanation. It is a confession that nobody was in charge. Courts, regulators and customers do not accept it, and your insurer will not either.

You own what your tools do in your name

In law and in practice, a business that deploys a tool owns the results. The Air Canada ruling (Chapter 4) is a clear example: the airline could not distance itself from its chatbot's answer [5]. The same applies to a recruitment tool, a pricing engine or an agent that emails your customers. Using a vendor's product moves *some* of the cost. It does not move the accountability.

The accountability chain

A contract moves some cost. It does not move the duty.

Vendor
Builds the tool. Liability usually capped and limited by contract.

Your business
Chooses, configures and deploys it. **Accountable for the outcome.**

Owner, operator, reviewer
Named people who run, supervise and can override.

The affected person
Deals with you, not your supplier. Expects an answer.

“The system did it” is **not an explanation**. It means nobody was in charge.

Name an owner for every automated decision

Each entry in your register (Appendix A) should have **one named business owner**. Not a team, not "IT". A person who can answer five questions:

1. What does this process decide, and about whom?
2. Is it working? How do we know?
3. Who reviews it, and how often?
4. What happens when it is wrong?
5. When did we last check, and what did we find?

The owner need not be technical. They need authority over the business outcome and the time to ask questions.

Split the roles clearly

Four roles recur. In a small business one person may hold several, but write them down.

- **Owner.** Accountable for the outcome and the decision to use the tool.
- **Operator.** Runs the process day to day, spots problems and uses the stop button.
- **Reviewer.** Examines flagged or sampled cases and can override.
- **Challenger.** Someone independent who occasionally asks "is this still right?", such as a colleague, adviser or external reviewer.

If the owner and the challenger are the same person, you have no challenger.

The vendor is not your shield

Contracts with AI and automation vendors often limit their liability heavily and disclaim accuracy. Before relying on a tool for significant decisions:

- Read what the vendor *promises* about accuracy, testing and updates, and what it excludes.
- Ask whether they tell you when the model or rules change.
- Check what logs you can get out, and for how long.

- Check data use: does the vendor train on your data, and where is it processed?
- Ask who the vendor's sub-suppliers are, since the model may be someone else's.

If you cannot get answers, keep the tool away from significant decisions.



Unread forms and a glowing screen: where accountability quietly lapses

Records are your defence

When something goes wrong, the quality of your records decides whether you can show you acted responsibly. Keep, for each significant process:

- Why you chose it and what you assessed (Appendix B).
- How it was tested before launch (Appendix D).
- What the oversight design is (Appendix C).
- Who changed what and when.
- A log of decisions or samples, and of incidents and how they were resolved (Appendix E).

Insurance and the unglamorous questions

Many insurance policies were written before generative AI. Ask your broker whether errors made by automated systems and AI tools fall within your professional-indemnity, cyber or public-liability cover, and whether any exclusions apply. Do it before the claim, not after.

Scenario (fictional). *Quill & Lantern Accounting* uses an AI assistant to draft client tax summaries, which a junior reviews. A summary misstates a deadline and a client incurs a penalty. The firm's first reaction is that the tool made the error. The client's lawyer replies that the firm issued the summary. The firm's records show no written review standard, no testing and no owner for the process. The insurer asks the same questions.

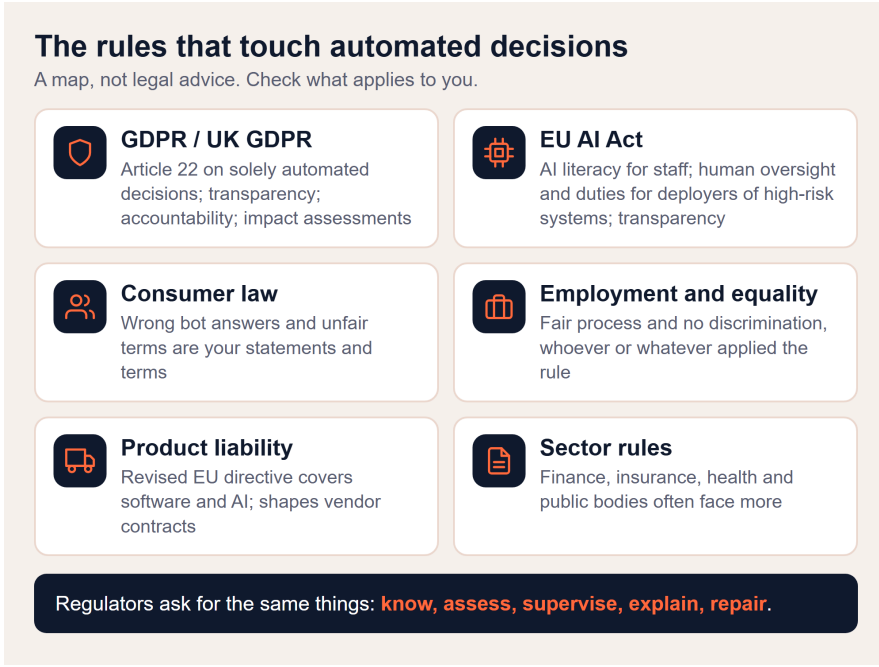
The rule. Accountability is a name, a record and a route to repair. Without all three, it is just a feeling.

CHAPTER 10

The Rules in Plain English



This chapter is a map, not legal advice. The rules differ by country and change quickly. Use it to know which questions to ask your adviser, and check the current position before you act.



The main rules that touch automated decisions

Data protection: the GDPR and UK GDPR

If you decide about people in the EU or UK, these provisions matter most [12]:

- **Article 22: solely automated decisions.** Individuals have a right not to be subject to a decision based *solely* on automated processing that produces legal or similarly significant effects, subject to limited exceptions (for example where necessary for a contract, authorised by law, or based on explicit consent). Where an exception applies, you must put safeguards in place, including the right to **human intervention**, to **express a point of view** and to **contest** the decision. Special-category data is restricted further.
- **Transparency (Articles 13 to 15).** You must tell people when solely automated decisions with significant effects are made, and give meaningful information about the logic involved, the significance and the envisaged consequences.
- **Accountability (Article 5(2)).** You must be able to **demonstrate** compliance. This is where your register, records and tests come in.
- **Impact assessments (Article 35).** Systematic and extensive automated evaluation of people with significant effects usually calls for a data-protection impact assessment *before* you start.
- **Fairness and accuracy (Article 5).** Personal data must be processed fairly and kept accurate.
- **Compensation (Article 82).** People who suffer damage can claim.

Recent European case law has broadened how far Article 22 reaches. The Court of Justice held in the SCHUFA case (December 2023) that producing a credit score can itself be an automated decision where a third party draws strongly on it, and in a 2025 case it addressed what explanation of the logic must be given [12]. If you rely on scores from a vendor, you cannot assume the rule only applies to the vendor.

In the UK, the Data (Use and Access) Act 2025 reforms the rules on automated decision-making, loosening some restrictions while keeping safeguards. Commencement is staged, so check which provisions are in force when you read this [15].

The EU AI Act

The AI Act (Regulation (EU) 2024/1689) takes a risk-based approach [13]:

- **Prohibited practices** (for example certain manipulative systems or social scoring) are already banned.

- **AI literacy (Article 4):** providers and deployers must take measures to ensure that staff dealing with AI have a sufficient level of AI literacy. This applies to small businesses too.
- **High-risk systems** include some used in recruitment and worker management, access to essential services and credit scoring. Deployers of these have duties on human oversight, monitoring, logging, informing affected people and using the system according to its instructions.
- **Transparency duties (Article 50)** cover certain chatbots and AI-generated content.

The timetable for high-risk obligations has been pushed back by recent EU legislation known as the AI Omnibus (reported as Regulation (EU) 2026/1744, in force from 27 July 2026, with delayed dates for high-risk obligations stretching to December 2027 and August 2028) [13]. Dates and scope are moving: confirm the current position before relying on any date in this book.

Consumer, employment and equality law

- **Consumer law.** Misleading information given by a bot is a misleading statement by you. Unfair terms, hidden fees and dark patterns do not become acceptable because software applied them.
- **Employment law.** Hiring, monitoring, scoring and dismissal processes carry fairness, consultation and anti-discrimination duties. Using an algorithm does not shift the employer's responsibility.
- **Equality law.** If a system produces worse outcomes for people with protected characteristics, you may face a discrimination claim even if nobody intended it.

Product liability and software

The revised EU Product Liability Directive (2024/2853) extends strict liability to software, including AI, for products placed on the market after its application date; Member States must apply it from December 2026 [16]. This mostly concerns makers rather than users, but it changes what you can expect from vendors, and what your contract should say.

The UK's Post Office scandal is a reminder of a quieter legal problem: courts and organisations long assumed computer evidence was reliable by default, and hundreds of people were prosecuted before the faults in the Horizon accounting system were established [17].

Sector rules

Banks, insurers, health providers, public bodies and similar organisations have extra obligations, such as fundamental-rights impact assessments for some AI uses. If you operate in such a sector, speak to your regulator or adviser first.

What it means in practice

Whatever the jurisdiction, regulators ask for roughly the same things:

- Know what you run (register).
- Assess the risk before use (impact sheet).
- Keep a real human in significant decisions (oversight).
- Tell people and let them challenge (transparency and redress).
- Test, monitor and keep records.
- Fix problems and learn from them.

This book's appendices produce each one.

> **The rule.** If you can show you knew, assessed, supervised, explained and repaired, most of the law is on your side.

CHAPTER 11

Governance Without a Committee



"Governance" sounds like boards, committees and binders. For a small business it can be a single page and a calendar reminder. What matters is that decisions about automation are made on purpose, by someone, with a record.

Five habits

Three risk tiers

Simple on purpose.

TIER 1 · LOW Trivial or reversible	TIER 2 · MEDIUM Moderate, reversible	TIER 3 · HIGH Significant or serious
Meeting scheduling, internal summaries **Needs:** register entry and owner	Routing, discounts, recommendations **Needs:** plus testing, sampling and a complaint route	Pay, hiring, credit, closures, safety, vulnerable people **Needs:** plus impact sheet, human review of adverse outcomes, logs, stop button, challenger

When in doubt, **rank up**.

Lightweight governance: three risk tiers and what each needs

1. **Know it (inventory).** Keep the register current: every automated process, its owner and its purpose.
2. **Rank it (risk-tier).** Give each process a tier by what a wrong decision does to a person or to money.
3. **Approve it (gate).** Nothing above Tier 3 goes live without a short written assessment and a named approver.
4. **Change it carefully (change control).** Changes to rules, prompts, models or data sources get a note, a test and a rollback plan.

5. **Review it (rhythm).** A fixed time each quarter to look at results, complaints and incidents.

Ranking by impact

Use three tiers. It is deliberately simple.

- **Tier 1 (low).** Trivial or easily reversed, no effect on a person's rights or money. Example: meeting scheduling, internal summaries. *Needs: register entry and owner.*
- **Tier 2 (medium).** Affects customers or staff in moderate ways, reversible. Example: routing, discounts, recommendations. *Needs: also a test, sampling and a complaint route.*
- **Tier 3 (high).** Significant or serious effects: pay, hiring, credit, account closure, safety, special-category data, vulnerable people, or large sums. *Needs: also an impact assessment, human review of adverse outcomes, logging, a stop button, and a regular challenger.*

When in doubt, rank up.

The one-page impact sheet

Before launching anything Tier 2 or 3, fill in Appendix B. It asks: what is decided, about whom, using what data, what could go wrong, who could be harmed, how we would notice, what oversight exists, how people can challenge, and what the lawful basis is. If the sheet raises a high-risk answer, speak to a professional adviser before you go ahead. For many Tier 3 processes involving personal data, this is the start of a formal data-protection impact assessment.

Change control

Most failures start after launch, with a change nobody thought about: a tweaked threshold, a swapped data source, a rewritten prompt, a vendor update. Make it a rule that every change:

- Has a **reason** and a **named person**.
- Is **tested** on real examples first (Chapter 12).
- Has a **rollback**: how to return to yesterday's version.
- Is **recorded** with the date.

For vendor-managed tools where you cannot control changes, subscribe to their release notes and schedule a retest when the model or rules change.

Keep people informed

Tell staff what is automated and why. Tell customers and applicants when a significant decision involves automated processing, how to ask for a person to look again, and how long it will take. Transparency is a legal duty in many cases and also your cheapest early-warning system, because affected people notice before dashboards do.

A policy on one page

Appendix F gives a template. A usable policy answers: which tools may be used for which tasks, what data may never go into them, who approves new automation, which decisions always need a human, how to report problems, and who to call. If it is longer than a page, nobody reads it.

> **The rule.** Governance is the habit of asking "who decided this should be automated, and who is watching it?" before the system asks you.

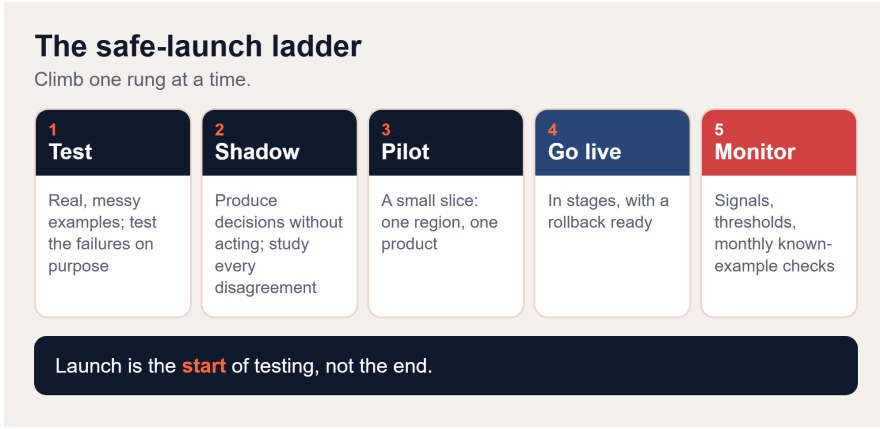
CHAPTER 12

Test, Monitor, Stop



Testing a workflow once, at launch, with ideal examples, tells you only that it can work. This chapter is about discovering how it fails, and noticing when it starts to.

Before launch



The safe-launch ladder: test, shadow, pilot, live, monitor

1. **Test with real, messy examples.** Not the clean demo data. Include awkward names, missing fields, odd formats, long messages, other languages and edge cases.
2. **Test the failures on purpose.** What happens if the data feed is empty, the vendor is down, or two rules disagree?
3. **Run in shadow mode.** Let the system produce decisions but not act on them. Compare them with what people would have done. Study every disagreement.
4. **Pilot on a small slice.** Release to a few customers, one region or one product. Watch closely.

5. **Check outcomes across groups.** If you handle people, compare results across relevant groups (for example age band, sex, region) to catch uneven error rates early. Take advice on how to do this lawfully with the data you hold.
6. **Go live in stages,** not all at once. The lesson of 2024's global update outage (Chapter 4) applies to your own changes.

After launch: what to watch

Choose a handful of signals, check them on a schedule, and write them down.

- **Volume.** Sudden jumps or drops in cases processed.
- **Outcome mix.** Share approved, refused, escalated. A sudden shift is a warning.
- **Error and override rates.** How often do people correct the system?
- **Complaints and disputes.** Count them and read them. They are the earliest honest signal.
- **Speed and cost.** Unusual runtimes or bills.
- **Drift checks.** Every month, run a fixed set of known examples through the system and compare to last month's results.

Set thresholds in advance

Decide before launch: *if refusals rise above 15 per cent, or complaints exceed three in a week, or an override rate drops below 1 per cent, we pause and check.* Writing the numbers down turns "something feels off" into a rule people can act on without fear of overreacting.

Logs you will thank yourself for

A log is the difference between "we think it affected some customers" and "it affected 212 customers between 14:10 and 16:40, and these are they". For significant processes keep, for an appropriate time:

- What the system received and what it decided.
- Which version of the rule or model was used.
- Whether a person reviewed it, who, and what they did.
- Any override or complaint.

Mind data-protection duties: keep what you need, protect it and delete it when the purpose ends.

The kill switch

Chapter 8 introduced the stop button. Practise it. Once a year, simulate an incident and time how long it takes to find the switch, decide, pause, switch to manual and tell the people affected. Treat the result as information, not a pass or fail.

Retire it properly

Automations rot. When a process is no longer used, switch it off completely, revoke its access and remove it from the register. Orphaned workflows with live credentials are quiet hazards.

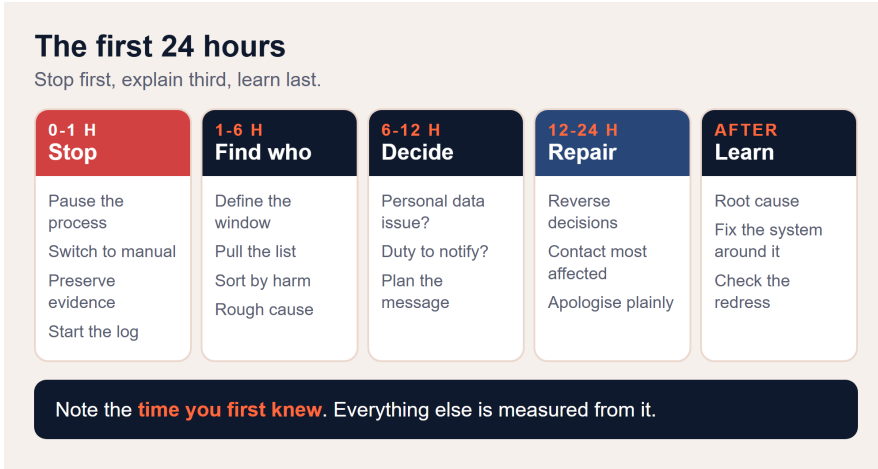
> **The rule.** Launch is the start of testing, not the end of it.

CHAPTER 13

When It Goes Wrong: The First 24 Hours



Despite your best efforts, one day an automated process will do something wrong. How you respond in the first day shapes everything that follows: the harm, the cost, the regulator's attitude and your customers' memory of it.



The first 24 hours: stop, contain, understand, tell, repair

Hour 0 to 1: Stop

- **Pause the process.** Use the stop button. If you are unsure whether it is the cause, pause first and investigate afterwards. A paused workflow costs little. A running one costs more every minute.
- **Switch to manual** for urgent cases, with a person making each decision.
- **Preserve evidence.** Do not delete logs, overwrite rules or "fix" data until you have copied the current state. You will need it.
- **Tell your owner and your lead.** Start a log (Appendix E) with the time you first knew.

Hour 1 to 6: Find out who was affected

- **Define the window.** When did it start? When did you stop it? Use logs and version history.
- **Pull the list.** Which customers, staff or partners had decisions made in that window?
- **Sort by harm.** Who lost money, access, a job or an opportunity? Who might be vulnerable? Start with them.
- **Find the cause, roughly.** Data, rule, change, vendor update, misuse? You do not need the final answer yet. You need to know whether it is safe to restart.

Hour 6 to 12: Decide what you must tell

- **Do any personal data issues arise?** If the failure exposed or wrongly used personal data, treat it as a possible data breach and follow your breach procedure, with the regulatory clock in mind (72 hours in the GDPR where notification is required).
- **Do any contracts or regulations require notice?** Check with your adviser, insurer and key partners.
- **Plan what to tell affected people.** Plain words: what happened, what it means for them, what you are doing, what they can do, and how to reach a human.

Hour 12 to 24: Repair and communicate

- **Reverse or correct the decisions you can.** Refund, reinstate, reissue, re-decide. Where possible, do it before people ask.
- **Contact the most affected first.** Personally, where it matters.
- **Say sorry properly.** A short, specific apology that names the problem and the fix works better than a long statement. Avoid blaming the software or the vendor; they may share responsibility, but your customer dealt with you.
- **Record every decision** about who was told what, and when.

After the first day

- **Find the root cause,** not just the trigger. Which of the seven failure modes (Chapter 3) was at work? Which safeguard should have caught it?
- **Fix the system around the system:** oversight, thresholds, tests, ownership.
- **Check the redress.** Have all affected people been put right? Have complaints been answered?
- **Tell your vendor** and ask for their own review and fix.
- **Share lessons** inside the business. Make it normal to say "this nearly went wrong".

What a good message looks like

> **Subject: A mistake in our system, and what we are doing about it**
>
> Between 14:10 and 16:40 on Tuesday, an error in our order-screening system wrongly held some orders and cancelled others. Your order was one of them. We have stopped the system, reinstated your order, and refunded any fees. You do not need to do anything. If you would like a person to check your account, reply to this message or call us on the number below, and a member of our team will respond today. We are sorry. Here is what we are changing so it does not happen again.

(An illustration only. Adapt it, and take advice for serious incidents.)

> **The rule.** Stop first, count the people second, explain third, repair fourth, and learn last.

CHAPTER 14

Your 30-Day Plan



You do not need to fix everything. You need a defensible position: you know what is automated, you have ranked the risk, the dangerous decisions have real oversight, and you can stop and repair. This plan takes a few hours a week.



Four weeks to a defensible position

Week 1: See

- Run the 30-minute sweep (Chapter 2) with your team.
- Build the register (Appendix A): process, owner, decision, data, people affected.
- Name an owner for every line. If nobody will own it, pause it.
- Check which AI tools staff use and what data goes into them.

Week 2: Rank

- Assign Tier 1, 2 or 3 to each process (Chapter 11).

- Pick your top three Tier 3 or highest Tier 2 processes.
- Fill in the impact sheet (Appendix B) for each.
- Note any use of personal data and any decision with significant effects on people. Flag them for professional advice.

Week 3: Fix

- For each top-three process, fill in the oversight design sheet (Appendix C): triggers, reviewer information, time, authority.
- Write and test the stop button. Find out who can use it at 7 pm on Saturday.
- Create a complaint and challenge route: an email address, a person, a deadline.
- Run the pre-launch checklist (Appendix D) against what is already live.

Week 4: Write and rehearse

- Adopt the one-page policy (Appendix F), edited for your business.
- Add monitoring thresholds and put a monthly review in the calendar (Appendix H).
- Run a 30-minute drill: pretend your top process just failed. Follow Chapter 13 and note where you got stuck.
- Ask your insurer and your main vendors the questions in Chapter 9.

What good looks like on day 30

- A register that is complete enough to trust.
- An owner and a risk tier for every line.
- Real oversight on the few decisions that matter most.
- A stop button that works and a route for people to challenge.
- A written policy, a calendar review and a short evidence file.

You will not have eliminated risk. You will have turned a hidden risk into a managed one, and that changes what happens on your worst day.

> **The rule.** Start with the three decisions that could hurt someone most, and make those safe first.

Conclusion: Keep a Human Who Can Say No



Automation is not the enemy. It saves time, it reduces drudgery, it can be fairer than tired humans on a bad afternoon, and used well it makes small businesses competitive with giants. The aim of this book is not to make you afraid of it.

The aim is to make you its owner.

Every case in these pages failed in the same way. Not because the technology was wicked, but because the **organisation around it had stopped paying attention**. Nobody owned the outcome. Nobody could stop it. Nobody listened to the people it affected. The rule or the model worked exactly as it was built, and the build had no place for doubt.

What protects you is not a better algorithm. It is a few ordinary habits:

- **Know** what you have automated.
- **Rank** it by what it can do to a person.
- **Watch** it, with thresholds you set in advance.
- **Keep a human** with authority, information and time for the decisions that matter.
- **Let people challenge** what was decided about them.
- **Stop it quickly** when it misbehaves, and **put things right** afterwards.

If you do those six things, you will still make mistakes. Everyone does. But they will be smaller, you will find them sooner, and you will be able to look an affected customer in the eye and say who decided, what you did, and how you have made it right.

That is what accountability means, and no machine can do it for you.

The rule. You can automate the work. You cannot automate the accountability.

APPENDIX A

Automation Register

One row per automated process that makes or shapes a decision about a customer, an employee, money or data. Include AI tools staff use on their own. Review it every quarter.

Process and tool	What it decides or does	Data it uses	Who can be affected	Tier (1–3)	Owner	Human review	Last reviewed

Tier is from Chapter 11: 1 low, 2 medium, 3 high. **Human review** means one of: every case, adverse cases, sample, exceptions only, none.

APPENDIX B

Automated Decision Impact Sheet

Complete for every Tier 2 and Tier 3 process before launch, and again after any major change.

Process and tool: _____ **Date:** _____

Business owner: _____ **Assessed by:** _____

What it decides, in one sentence:

_____

Who is affected (customers, staff, applicants, others): _____

#	Question	Answer	Risk (L / M / H)
1	Does the decision affect money, jobs, credit, housing, health, safety or access to a service?		
2	Does it use personal data? Special-category data? Children's data?		
3	Is it solely automated, or does a person genuinely decide?		
4	Is the outcome reversible? How quickly?		
5	What data does it rely on, and how accurate and fresh is it?		
6	Could it treat some groups worse than others? How would we know?		
7	What is the worst realistic wrong outcome?		
8	How will we notice it going wrong?		
9	Can an affected person ask for a human to look again?		
10	What does the vendor promise, and what does it exclude?		

Lawful basis and information given to people: _____

Needs a formal data-protection impact assessment or legal advice? ☐ Yes ☐ No ☐ Unsure

Decision: ☐ Approve ☐ Approve with conditions ☐ Reduce its powers ☐ Do not use

Conditions and actions:

Approved by: _____ **Next review:** _____

APPENDIX C

Human Oversight Design Sheet

Complete for each Tier 3 process. The aim is to make the human step real.

Process: _____ **Owner:** _____

Oversight type: ☐ In the loop (a person decides each case) ☐ On the loop (sampling and supervision) ☐ Out of the loop (complaints only)

Cases always sent to a person (triggers):

- ☐ Low confidence or score close to the threshold
- ☐ Amount or consequence above: _____
- ☐ Adverse and hard to reverse (refusal, closure, deletion)
- ☐ Vulnerable person or special-category data
- ☐ Complaint or dispute raised
- ☐ New or unusual type of case
- ☐ Other: _____

Reviewer needs	Provided?	How
The input data behind the decision		
The reason or main factors		
Confidence and what would change the answer		
Options (approve, change, send back, escalate)		
Realistic minutes per case		
Written authority to override		

Reviewer name(s) and training on the system's known weaknesses: _____

Sampling plan (how many, how often, who):

_____

Override rate target range: _____ to _____ **If outside the range, we:** _____

Planted-error test (how often): _____

Stop button. Who: _____ How: _____ When: _____
Manual fallback: _____

Challenger (independent reviewer) and frequency: _____

APPENDIX D

Pre-Launch Test Checklist

Tick before any Tier 2 or Tier 3 automation goes live, and again after changes to its rules, prompts, data or model.

Before testing

- ☐ The process is in the register with an owner and a tier.
- ☐ The impact sheet (Appendix B) is complete and approved.
- ☐ We know what the vendor promises about accuracy, updates and data use.

Testing

- ☐ Tested on real, messy examples, not only clean demo data.
- ☐ Tested unusual names, missing fields, long inputs, other languages and edge cases.
- ☐ Tested failure: empty feed, vendor down, conflicting rules.
- ☐ Tested several times, since AI output can vary.
- ☐ Ran in shadow mode and studied every disagreement with human decisions.
- ☐ Compared outcomes across relevant groups for uneven results.
- ☐ Tested what happens if the input contains hidden instructions.

Control

- ☐ The reviewer has the information, time and authority they need.
- ☐ The stop button was found and used in a test.
- ☐ A rollback to the previous version exists.
- ☐ People can challenge a decision, and we tested the route.
- ☐ Logs capture the input, output, version and reviewer.

Launch

- ☐ Pilot on a small slice first, with closer monitoring.
- ☐ Monitoring signals and pause thresholds are written down.
- ☐ Staff and, where required, customers have been told.

Signed off by owner: _____ **Date:** _____

APPENDIX E

Incident Log

Start this the moment you suspect an automated process has gone wrong. Note times as they happen.

Incident title: _____ **Log opened by:** _____

Time we first became aware: _____ **Process and tool:** _____

Time	What happened or was decided	By whom	Evidence saved?

Process paused at: _____ **Manual fallback in place:** ☐ Yes ☐ No

Window of impact (start to stop): _____

Number and type of people affected: _____

Most affected or vulnerable people identified: _____

Personal data involved? Breach procedure started? ☐ Yes ☐ No ☐ Unsure

Regulator, insurer, vendor and key partners told: _____

Customers or staff told (who, when, how): _____

Decisions reversed or corrected: _____

Root cause (failure mode from Chapter 3): _____

Safeguard that should have caught it: _____

Fixes and owners: _____ **Review date:** _____

APPENDIX F

One-Page Automation Policy Template

Adapt for your business and have it reviewed by a professional adviser.

Purpose. This policy sets out how we use automated and AI-assisted processes so that our decisions are fair, accurate, accountable and open to challenge.

1. Register. Every automated process that affects customers, staff, money or data is recorded in the register, with a named owner and a risk tier. Processes that are not in the register may not be used for business purposes.

2. Approval. New Tier 2 and Tier 3 processes need a completed impact sheet and written approval from the business owner before launch. Changes to rules, prompts, models or data sources are tested and recorded.

3. Data. No personal data, confidential information or customer documents may be entered into an AI tool unless it is on our approved list. The approved list is kept by: _____.

4. Human review. Decisions with significant effects on people (including hiring, pay, credit, refunds above _____, account closure, and anything involving vulnerable people) are reviewed by a person with the information, time and authority to change the result.

5. Transparency and challenge. People are told when significant decisions involve automated processing, and may ask for a person to look at the decision again. Requests are answered within _____ working days.

6. Monitoring. Owners check agreed signals monthly and pause the process if thresholds are crossed.

7. Stopping. Any owner or operator may stop a process they believe is causing harm, without needing approval first.

8. Incidents. Problems are reported to _____ immediately. We keep an incident log, correct affected decisions and review the cause.

9. Training. Staff who use or review automated processes are trained on how they work, how they fail and what they must not do.

10. Review. This policy and the register are reviewed every _____ months.

Approved by: _____ **Date:** _____

APPENDIX G

Challenge and Redress Response Template

Use this to answer a person who asks for a decision about them to be looked at again.

Step 1: Acknowledge within _____ working days.

Thank you for getting in touch about the decision on [date]. A member of our team will review it personally and reply by [date].

Step 2: Check the case. The reviewer should look at:

- ☐ The original inputs, and whether they were correct and complete.
- ☐ What the system recommended and why.
- ☐ Whether the person's explanation changes anything.
- ☐ Whether similar people may have been affected.
- ☐ Whether special circumstances or vulnerability apply.

Step 3: Decide, and record.

Outcome: ☐ Decision confirmed ☐ Decision changed ☐ Further information needed

Reason (in plain words):

_____

Reviewer: _____ **Date:** _____

Step 4: Reply.

We have reviewed the decision. [We have changed it / We have confirmed it] because [reason in plain words]. You can [next step, such as appeal, complain to us, or contact the data-protection authority]. If you would like to speak to someone, contact [name and number].

Step 5: Learn.

- ☐ Add the case to the override and challenge tally.
- ☐ If the decision was wrong, check others in the same pattern.
- ☐ Tell the process owner.

APPENDIX H

Quarterly Review Log

One page per process per quarter, kept with the register.

Date	Process	Reviewer	Results checked	Complaints	Overrides	Issues found	Actions and owners

Questions each quarter:

- ☐ Is the process still needed, and does it still do what we think?
- ☐ Has the vendor changed the tool, terms or model?
- ☐ Have volumes, outcomes or complaints shifted?
- ☐ Did the override rate stay in the target range?
- ☐ Do the rules still match the law and our policy?
- ☐ Did the stop button work in the last test?
- ☐ Are owners and reviewers still in the business?

Glossary

Agent (AI agent). An AI system that can take actions, such as sending emails or editing files, instead of only answering questions.

Algorithm. A set of rules or a model that turns inputs into an output or decision.

Automated decision. A decision made by technology, with or without a person's involvement. The GDPR regulates decisions made *solely* by automated means that have legal or similarly significant effects.

Automation bias. The tendency to over-trust a machine's output and under-use one's own judgement.

Bias. A pattern of unfair or uneven results, often inherited from the data a system learned from.

Drift. A gradual or sudden change in the world or in the data that makes a system less accurate than it was.

Generative AI. AI that produces new text, images, code or other content.

Human in the loop / on the loop / out of the loop. Whether a person decides each case, supervises the process, or is absent from it.

Hallucination. A confident but false output from a generative AI system.

Impact assessment. A structured review of the risks of a process to people, before it starts.

Kill switch (stop button). A documented way to pause an automated process quickly.

Model. A system trained on data to make predictions or generate content.

Prompt injection. Hidden or malicious instructions in text an AI reads that change how it behaves.

Shadow mode. Running a system alongside human decisions, without acting on its output, to compare results.

Shadow automation. Automation set up by staff or teams without approval or oversight.

A Note on GDPRGard.eu

This book sits alongside **GDPRGard**, a growing set of free tools, guides and articles that help small businesses handle data protection with confidence, including explainers on AI, automated decisions and breach response. Visit **gdprgard.eu** for updates on the rules and incidents discussed here.

About the Author

Zirlandia Milkovic writes practical, plain-English guides on data protection, AI and building a business with confidence. She believes that technology should earn trust rather than demand it, and that business owners should not need a legal degree, or an engineering degree, to understand the risks that come with the tools they use every day.

She is the author of a series of business guides, including *GDPR Made Simple for Women Founders*, and her work focuses on turning complex European rules and fast-moving technology into simple steps, checklists and templates that busy people can actually use. She is also behind **GDPRGard**, a growing collection of free GDPR tools, guides and articles for small businesses, available at gdprgard.eu.

If this guide helped you, an honest review where you bought it helps other readers find it.

Notes and Sources

Research cut-off: 9 November 2026. Most items below rest on the author's working knowledge of well-known public records, and the AI Omnibus details were consulted in earlier research for this series (read, via search summaries and secondary reporting). Counts, dates and sums in incident reports vary between sources and should be re-checked against the primary source before you rely on them.

1. Overview of the legal position that businesses answer for the output of their automated tools: Regulation (EU) 2016/679 (GDPR), eur-lex.europa.eu, and the decisions cited in later notes. Not legal advice.
2. Royal Commission into the Robodebt Scheme (Australia), report tabled July 2023; and the class-action settlement approved in 2021 (reported at about A$1.8 billion including refunds and costs). Check the primary report for figures.
3. Dutch childcare benefits (toeslagenaffaire): parliamentary inquiry report "Ongekend onrecht" (December 2020); resignation of the Dutch government in January 2021; fines imposed on the Tax Administration by the Autoriteit Persoonsgegevens. Check amounts and dates in the primary sources.
4. US Securities and Exchange Commission, order against Knight Capital Americas LLC (October 2013), on the August 2012 trading event. The loss is widely reported at about US$440 million.
5. *Moffatt v Air Canada*, 2024 BCCRT 149 (British Columbia Civil Resolution Tribunal, February 2024).
6. Zillow Group announcements and press coverage on the wind-down of Zillow Offers, November 2021 (reported write-downs and about a quarter of staff). Check the filings for figures.
7. Reuters reporting, October 2018, on Amazon's discontinued experimental machine-learning recruiting tool.
8. Ofqual and press coverage of the 2020 A-level standardisation model and its withdrawal in favour of teacher-assessed grades, August 2020.
9. CrowdStrike, preliminary and root-cause analysis reports on the 19 July 2024 Falcon content update incident. The number of affected machines is widely reported at about 8.5 million.
10. Press coverage of the July 2025 Replit and SaaStr incident, including public statements by the company's chief executive. Reported accounts of the agent's explanations differ.
11. *Mata v Avianca* (S.D.N.Y., 2023), sanctions for fabricated citations from a chatbot; also, as examples of AI errors attributed to the deploying organisation, the 2023 dealership chatbot offer of a vehicle for one dollar, the 2024 parcel-company chatbot incident, and the 2025 partial refund by a consultancy for an AI-assisted government report in Australia (all from press coverage and the author's working knowledge).
12. Regulation (EU) 2016/679 (GDPR), Articles 5, 13 to 15, 22, 35 and 82; Court of Justice of the EU, Case C-634/21 *SCHUFA Holding (Scoring)*, judgment of 7 December 2023, and Case C-203/22 *Dun & Bradstreet Austria*, judgment of 27 February 2025. The UK GDPR is broadly equivalent, with the Information Commissioner's Office as regulator. Check current guidance from your authority on "meaningful" human involvement.
13. Regulation (EU) 2024/1689 (AI Act), including Articles 4, 14, 26 and 50; and the AI Omnibus amending timelines, reported as Regulation (EU) 2026/1744 (Official Journal 24 July 2026, in force 27 July 2026) (read, via secondary reporting; confirm on EUR-Lex). Timing of some obligations is

reported inconsistently between sources.

14. J. Skitka, K. Mosier and M. Burdick on automation bias (1999); R. Parasuraman and D. Manzey, "Complacency and bias in human use of automation" (2010). The "moral crumple zone" idea is from M. C. Elish (2019).
15. Data (Use and Access) Act 2025 (UK), provisions on automated decision-making; commencement is by regulations, so check what is in force.
16. Directive (EU) 2024/2853 (revised Product Liability Directive), applicable to products placed on the market after 9 December 2026.
17. Post Office (Horizon System) Offences Act 2024 (UK), and the Horizon IT inquiry, on the presumption that computer evidence is reliable.
18. Scenarios, businesses and the sample message in this book are fictional illustrations, not legal drafting, and must be adapted with professional advice for your circumstances.